Lender Roadmap: How to Meet the Pent-up Demand for Homes

Three key strategies lenders can implement to take advantage of pent-up demand, compete more effectively, and drive scalable growth.

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Introduction

Mortgage demand plummeted in the second half of 2022 after a series of aggressive rate hikes by the Federal Reserve[1] flipped the housing market from a refinance boom to a purchase market almost overnight. Lenders went from staffing up to laying off as single-family origination volume fell dramatically. That trend has continued this year, with Fannie Mae estimating that volume will drop to $1.69 trillion in 2023 compared to $2.36 trillion in 2022.[2]

However, as we reach mid-year, there is a silver lining to this cycle. Many would-be homeowners have been sidelined for the past three years, creating pent-up demand for homes, especially among first-time homebuyers.

Part of this demand is due to sheer demographics. Millennials hit peak home-buying age starting in 2017 and made up the largest share of mortgage applications from 2017 to 2022.[3] But many Millennials have been priced out of the very competitive housing market since the COVID-19 pandemic and are still waiting for their first chance to buy. Meanwhile, they are forming households and having kids – two triggers for home-buying no matter where interest rates are.

The lack of housing inventory has also fueled demand. Lawrence Yun, chief economist for the National Association of Realtors (NAR), noted in January[4] that once mortgage rates drop even a little bit, homebuyers will be ready to jump back into the fray. And NAR,[5] along with the Mortgage Bankers Association,[6] is forecasting mortgage rates in the 5s by the end of the year.

In addition, although mortgage volume is down, there are less mortgage lenders to handle that volume. After a very difficult year, the lenders still standing have a good opportunity to grow their market share – but only if they are ready. This white paper outlines three key strategies lenders can use to take advantage of pent-up demand, compete more effectively, and drive scalable growth.

A Relationship Strategy

Building a network by solving your referral partners' problems

The importance of relationships is one of the hallmarks of a purchase market. After the recent refinance boom, where lenders had trouble even keeping up with the volume of clients clamoring for their business, lenders now need to work with a wide network of referral partners to find and attract consumers looking and ready to buy. Becoming the go-to lender for a referral partner comes down to anticipating and solving those partners' problems.

Real estate agents are one of the most strategic relationships lenders have and they are working hard in this environment to keep sales rolling. In the Q2 RealTrends AgentPulse survey,[7] 90% of real estate agent respondents said continual connection with their sphere of influence is the marketing activity that earns the highest ROI. They are keeping in touch with past clients through email campaigns and door-knocking, in addition to making multiple prospecting calls each day.

Once they have those borrowers in the door, agents want lenders they can count on to close on time and provide great customer service. Multiple agents told RealTrends[8] that communication is key; regardless of whether the news is good or bad, agents want lenders to keep them in the loop during every step of the transaction.

Being a good partner starts at the beginning of the process, where lenders need to be able to quickly pre-qualify and pre-approve clients so they can compete in a tight market. While some pandemic housing markets have cooled, others are still seeing multiple-offer situations,[9] especially at lower to middle price points. The northeast has a cluster of markets in New Jersey, Connecticut, Massachusetts, and Rhode Island where bidding wars have never stopped being the norm.[10] California, from Orange County[11] to Sacramento,[12] and South Florida[13] are also busy. With competition so steep, agents need to know that lenders will answer the phone outside of regular business hours and have an efficient process to keep buyers informed.

In this volatile rate environment, lenders and agents must work together to make sure borrowers get over the finish line before the sand shifts under their feet. Lenders should be educating agents on solutions they can offer, including temporary rate buydowns, niche loan products, and more.

Lenders should also be nurturing other important relationships. While most large national builders have their own mortgage companies, many small or regional builders have a preferred lender list. Working with builders often requires lenders to offer clients closing cost incentives or temporary rate buydowns.[14]

Other referral sources include financial planners and divorce attorneys, whose

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clients are often facing life events that make the current mortgage rate irrelevant. These sources are looking for efficient partners who can facilitate quick resettling. Providing a smooth experience may be more important than rates for these sources.

Becoming a trusted adviser to buyers

While referral partner relationships are crucial to building a network, the core relationship of the mortgage process is that of the loan officer and the homebuyer. According to a McKinsey study,[15] an "exceptional customer experience" is almost as important to buyers as getting the best mortgage rate available. Buyers want clear communication and a trusted advisor who can guide them through the process.

In this market, homebuyer education is critical. Consumers might be starting from scratch, especially if they are first-time homebuyers, and they are looking for information months ahead of their home search. Lenders can meet this need by hosting educational seminars for buyers through a local real estate brokerage or association. This is a win on two fronts: lenders make an important connection with buyers and simultaneously help their real estate partners.

Part of educating consumers is understanding that they have been inundated with negative messages about today's housing market. A recent survey[16] found that 73% of renters believe that homeownership is beyond their reach at this point. Loan officers should be ready to educate consumers on the benefits of homeownership, especially as a hedge against inflation,[17] and lay out a pathway to get there. Lenders should be versed in their local market conditions and help prospective buyers understand the costs of renting versus buying.

There are many parts of the mortgage process where lenders can educate prospective borrowers and grow their business as a result. Alisa Glutz is a licensed mortgage loan officer for Guild Mortgage in Arizona who teaches consumers how to understand and improve their credit score. She started out by educating herself then graduated to hosting credit workshops, going on to even write a book.[18] By engaging with consumers very early in their home-buying journey, she has built a pipeline of loyal borrowers who are happy to recommend her to others.

Other areas where lenders can fill a knowledge gap include down payment assistance options, qualifying for a mortgage in a multi-gen household, understanding how lenders look at gig work, and more. Becoming a subject matter expert in the GSEs' loan programs for low-income borrowers – Fannie Mae's HomeReady[19] and Freddie Mac's Home Possible[20] – is a good place for any lender to start. No matter where you choose to add value, the big difference is focusing on the consumer relationship instead of the transaction.

Buyers are looking for someone knowledgeable to guide them and advise them in making informed decisions around buying the largest asset they will likely acquire during their lifetime. Even as the mortgage process becomes more digitized, borrowers continue to indicate that they still want to work with

a human being on their loan.[17]

Acting as an adviser first also increases the chances that borrowers will be repeat customers. Historically, mortgage lenders have low customer retention rates, capturing less than 20% of their borrowers' future lending business.[21] This presents a huge opportunity for lenders who differentiate themselves and deliver an excellent experience. Satisfied borrowers will not only return for their next transaction but are also more likely to refer lenders to the rest of their network.

Reclaiming old-school tactics, with a high-tech twist

When the market was flush with refinance loans, lenders could rely on lead generation technology to serve prospective borrowers to them. Now, in a tougher market where competition for borrowers is steep, lenders are returning to old-school tactics of working the phones and meeting borrowers where they are at in the community, including open houses, hosting workshops, meeting for coffee, and attending community events.

Communication and outreach are key and, fortunately, lenders have more options than ever. In addition to traditional methods using phone, text, email and print materials, lenders can use voice texts or videos. Social channels can give lenders a wider reach and although building an audience on social media takes consistency, it has a low barrier to entry. Consumers today, especially younger consumers, are looking for authenticity.

Consider the following mortgage originators who have grown their brand online in the last few years. All of them have made a name for themselves by providing answers to typical borrower questions in a format that is easy to emulate.

- Arielle Best, UMortgage branch manager, is known as the VA Loan Lady. She joined TikTok in 2020 and today has 61.3k followers and 524.8k likes on the platform.[22]
- Scott Betly, a loan officer for NFM Lending, is known as That Mortgage Guy. He joined TikTok in 2019 and today has 865.5k followers and 11.7 million likes. He also has more than 100k followers on Instagram.[23]
- Mandy Phillips, branch manager at Vista Home Loans, is known as Mortgage Mandy. She has 92.4k followers and 2 million likes.[24]

In addition to keeping in touch with their current database and network of referral partners, lenders should also be targeting the type of clientele they would ideally like to work with. In an interview with HousingWire,[14] Anna Ruotolo, branch manager and senior loan officer at Synergy One Lending, said:

> **"We have to operate with extreme intention of creating as many relationships as possible, making as many contacts as possible. This is the time that we could gain market share by really creating some strong relationships."**

A Product Strategy

In addition to relationships, lenders need to offer the loan products that help them compete more effectively in this market.

Nail the niche

Every loan is important in the current market and lenders can accommodate different buyers by expanding their product offerings. This means going outside of the typical 30-year fixed mortgage to offer:

- Bank statement loans for self-employed or gig workers
- Debt Service Coverage Ratio (DSCR) loans for real estate investors
- Short-term bridge loans to bridge the gap between buying and selling a home
- Construction loans to cover the costs of custom home-building
- Professional mortgages for buyers in a specific industry which permit 10% down payment without mortgage insurance

Another winning product strategy is building an operational model around one niche loan type or one type of borrower, which allows lenders to create efficiencies in everything from training to underwriting, to marketing. In addition to the above loan types, some lenders have doubled down on being the experts for:

- FHA, VA, and USDA loans
- Low-income refinance programs
- Jumbo loans
- Construction to permanent loans
- Military borrowers
- First-time borrowers
- Investors

By expanding to include a niche product – and becoming an expert in it – lenders can differentiate their business from the competition and become the go-to lender for that product type.

Get your team to "yes, and" with buyers

There's a rule of thumb in improvisational comedy called "yes, and," where an actor works cooperatively with their scene partner and builds off their ideas. The goal is to keep the conversation going and support each other. In a tight mortgage market, lenders are applying this mindset to finding solutions for borrowers who might not fit in the traditional credit box.

For example, flexing to help a self-employed borrower who is going to take longer to underwrite than a W-2 borrower could be a smart use of time and effort when there are so few loans to be had. But after several years of easy refinance loans, lenders may need to shift their thinking to embrace these buyers and pull out all the stops to get them into a home. Going above and beyond for borrowers during this kind of market will continue to pay off when the market turns – not only with borrowers, but with their agents.[25]

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Become the expert on buy-downs, ARMS, down payment assistance, and more

Home affordability has dropped like a rock over the last year. Higher mortgage rates usually mean home prices will fall, but very low inventory has kept the pressure on, resulting in home prices that are still 32% higher on average than they were before the pandemic.[26]

Many borrowers who would have qualified last year are now shut out of homeownership. Creating a pathway for these borrowers means becoming adept at buydowns, adjustable-rate mortgages (ARMs), down payment assistance, and other programs that can help reduce mortgage payments.

Temporary rate buydowns, something many lenders have not used in years, have become a popular option this year. Boise-based loan officer Blake Bianchi, founder and CEO at Future Mortgage, told HousingWire[27] that he has seen an increase in borrowers choosing a 2-1 temporary rate buydown.

"About 50% of our clients are utilizing this program to achieve more affordable payments," Bianchi explained. "More clients believe that they will have the opportunity to refinance within those two years."

While temporary rate buydowns are not new, some loan officers may not be familiar with the option. Lenders should be dusting off these programs and letting their agent partners know they are ready to provide them. These buydowns are especially beneficial for borrowers who are planning to keep the property for two to three years before moving to a different property.

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ARMs can also benefit buyers in this market. Lenders who experienced the financial crisis might be biased against these types of loans, but as the Urban Institute noted recently, "the risk of ARMS were substantially mitigated by the regulatory reforms put in place after the 2008 bust."[28]

As noted in another section of this white paper, lenders should also be familiar with down payment assistance programs, including those offered by Fannie Mae and Freddie Mac. These programs are designed to help credit-worthy low-income borrowers, allowing them to make a down payment as low as 3%.

Additionally, Fannie Mae announced in 2022[29] that it would accept mortgage loans with lender-funded grants, including down payment assistance, closing costs or financial reserves, underwritten by the HomeReady program. Likewise, Freddie Mac's BorrowSmart program[30] is designed for first-time homebuyers in select metropolitan areas. These buyers must meet a minimum 3% down payment, complete one-on-one homeownership counseling, and earn less than or equal to 140% of the area median income.

Becoming an expert on these and other assistance programs will better position a lender to offer more opportunities to their borrowers, especially as they look to diversify product offerings and generate more revenue amid today's increasingly competitive market environment.

Historically, product diversification and the ability to move with the market has been cumbersome, often rife with unanticipated workflow requirements and subsequent vendor expenses. This was an unfortunate reality given a lack of innovation in the mortgage capital markets space for upwards of two decades.

But new, cloud-native market entrants have flipped the script.

With access to the most technically advanced and state-of-the-art software solutions, configuring new products and channels becomes significantly easier. Workflows become automated, speed to market is increased, and lenders can truly optimize the margins and resulting revenue on every loan and new opportunity.

A Tech Strategy

Implementing a robust tech strategy is vital for lenders to stay competitive in this market, as many of the relationship and product strategies listed above are only possible with the right tech foundation. But it is not just the tech stack that makes the difference; the right technology partner will foster a collaborative relationship with lenders that prioritizes their user experience and provides an avenue for swift innovation.

Adam Carmel, founder and CEO at Polly, said lenders should expect their technology partners to make it easy to pivot as the market changes. "We have seen a fundamental shift in what a lender expects from their tech partners. At Polly, we lean into what drives our industry forward, which is relationships – not just between the lender and the borrower, but between the lender and the vendor as well. Part of that is going back to the basics, when the tech platform was built for the person using it, not the other way around, where the lender was forced to adapt."

Polly's capital markets platform, which includes its product and pricing engine, loan trading exchange, and actionable suite of data and analytics, was purpose-built to be incredibly intuitive and agile so lenders can quickly add new products and investors, and configure whatever they need – without coding or long development times that would historically require vendor aide and result in added costs. The cloud-native and mobile responsive technology provides a much more efficient experience for lenders' secondary and capital market teams.

Here's how those elements help lenders succeed in this market:

Product and pricing

Polly's revolutionary PPE has fully customizable workflows to automate and streamline all lock desk functions. Lenders can easily modify product type and term combination and apply auto-accept rules for any of these scenarios, saving valuable time and money in this volatile mortgage rate environment.

Loan officers benefit from instant access to accurate pricing on the go, enabling them to operate constantly, and ultimately, close more business. By meeting the borrower at their point of need, they can better tailor the loan process for each individual to deliver a more customized and personal experience.

At Homespire Mortgage, implementing Polly's PPE saved the company 1.5 hours of work time daily across 150 users, increasing profitability by 12%.[31] Using Polly's PPE freed loan officers from error-prone manual updates so they could spend more time growing their business and engaging with borrowers.

Stephanie Sailor, vice president of secondary marketing at Homespire Mortgage, said, "Before implementing Polly, we found ourselves in a situation where my team had to touch every loan

multiple times across disparate systems. There was not seamless back and forth between systems and teams. Now, the entire workflow has been completely transformed. Our loan officers can quickly and easily make lock change requests and edit loans all within one unified, integrated solution."

Polly's PPE makes it easy for lenders to add new products within their system and shift strategic objectives in flux with the market. With the demand for non-traditional loans on the rise, lenders are leaning into Polly's advanced technology to facilitate their success rather than hinder it, enabling them to confidently issue a wider variety of niche products that more closely align with borrowers' evolving needs.

Carmel noted that Polly's average PPE implementation and onboarding time is approximately 8 weeks (dependent on requirements). They recently partnered with a top 15 lender on a top-to-bottom tailored solution that included a number of niche loan products and delivered it 14 weeks.

Loan trading

Lenders can sell loans with confidence through Polly's Loan Trading Exchange, which connects buyers and sellers of mortgage loans in an automated, transparent process. Lenders can easily add investors with one click and those investors can bid on day one. In addition, they can filter, sort, rank, and analyze returned bids within the intuitive interface, easily evaluate best execution, and take advantage of loan discovery.

"We are constantly in communication with our customer partners," Carmel said. "As their business evolves, we deliver rapid-fire solutions to meet those needs. We do not build just to build but rather, we base all features and functionality on direct communication and collaboration with our customers, including their loan officers, lock desk, and secondary market teams."

Data and analytics

Lenders leverage Polly's holistic data and analytics solution to get granular market data and insights in real time, creating greater visibility on margin management, lock extensions, price exceptions, change requests, and more. Actionable recommendations enable users to optimize their internal operations, and quickly identify and act on market opportunities.

> **"A well-defined tech strategy is crucial for lenders to thrive in today's competitive housing market. By prioritizing fast, accurate product and pricing information, embracing agility in response to market changes, and leveraging the expertise of the most advanced and cutting-edge technology partner, lenders will position themselves for success."**

Conclusion

In this very challenging market, lenders who seize the opportunity to build real relationships with consumers, referral partners, and the right technology vendor partner can gain significant market share today and be ready for when the market turns.

About Polly

Polly is transforming the mortgage industry with its modern, data-driven capital markets ecosystem. Banks, credit unions, and mortgage lenders nationwide trust Polly's revolutionary Product and Pricing Engine (PPE), Loan Trading Exchange, and actionable data and analytics to automate and optimize the entire capital markets value chain, helping their secondary teams operate faster, smarter, and more profitably. Polly was founded in 2019 by a seasoned team of technology and mortgage experts and is headquartered in San Francisco, California.

To learn more, follow Polly on LinkedIn or visit www.polly.io.

ARE YOU PREPARED
to take advantage of pent-up demand and drive growth?

Implementing a robust tech strategy is vital for lenders to stay competitive in this market, and beyond.

Connect with Polly to schedule **a tailored, no-cost** consultation today.

LET'S TALK

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